

Stock Screener — Beaten-Down Value with Upside

Claude Code Agent Instructions

MISSION

You are an institutional-grade equity research analyst. Your job is to:

1. **Research and screen** for stocks that have sold off significantly but retain strong fundamentals, protected industry positioning, and credible recovery catalysts
2. **Rank and evaluate** each candidate rigorously using the scoring framework below
3. **Build a professional Excel model** (`output/stock_screener.xlsx`) at hedge fund / sell-side quality

This is a capital-preservation-first strategy. The macro backdrop is bearish — credit stress, slowing US economy, elevated rates lingering longer. We want stocks where **the bad news is largely priced in** and the risk/reward is asymmetric to the upside even in a soft macro environment.

INVESTOR STRATEGY CONTEXT

Investment style: Contrarian value with defined catalysts

Macro view: Bearish on US credit and economic growth — prefer industries with inelastic demand (healthcare, defense, utilities, staples) over cyclicals and consumer discretionary

Holding period: 6–18 months

Return target: 20–50% upside with defined downside of 10–20%

Key constraint: Do NOT recommend anything that is overvalued or macro-exposed (no pure-play tech at high multiples, no financials with direct credit exposure, no housing/auto cyclicals)

Example of SUCCESSFUL trades using this exact strategy:

- See `examples/successful_trades.json` for annotated examples with entry rationale
- Common threads: stock down 30–60% from highs, company-specific issue (not

secular), strong balance sheet, clear catalyst path, industry with demand floor

STOCK SCREENING CRITERIA

Hard Filters (ALL must pass):

1. **Selloff:** Down at least 30% from 52-week or all-time high
2. **Balance sheet:** Net debt/EBITDA < 3.5x OR net cash position; interest coverage > 3x
3. **Industry protection:** Healthcare (pharma, devices, biotech), defense/aerospace, consumer staples, utilities, or industrials with long-term contracts — NO pure tech, NO financials with credit exposure, NO consumer discretionary
4. **Not structurally impaired:** The selloff must be due to a fixable/temporary issue (trial miss, guidance cut, one bad year, sector rotation, etc.) NOT a secular decline in the underlying business
5. **Size:** Market cap > \$5B (large enough for institutional liquidity)

Scoring Criteria (0–10 each, explained in `config/scoring_rubric.json`):

- **Valuation Score** (25% weight): P/E vs sector, EV/EBITDA, DCF implied upside, price/FCF
 - **Balance Sheet Score** (20% weight): Net debt, cash flow coverage, credit rating
 - **Catalyst Score** (20% weight): Specificity, timeline, probability of catalysts materializing
 - **Selloff Quality Score** (15% weight): How “clean” the selloff is — company-specific vs macro, overreaction vs. real impairment
 - **Industry Protection Score** (10% weight): How recession-resistant is the core demand?
 - **Analyst Conviction Score** (10% weight): Consensus rating, price target dispersion, recent upgrade/downgrade activity
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REQUIRED RESEARCH PROCESS

For **each candidate stock**, you **MUST** gather:

Quantitative Data

- Current price, 52-week high/low, % off high

- Market cap, enterprise value
- P/E (trailing and forward), EV/EBITDA, P/FCF, Price/Sales
- EPS estimates (current year, next year, 3-year CAGR)
- Revenue estimates and growth trajectory
- Gross margin, EBITDA margin, FCF margin
- Net debt or net cash, interest coverage ratio
- Dividend yield (if applicable)
- Analyst consensus: # buys, # holds, # sells
- Average analyst price target (12-month), high target, low target
- Implied upside/downside to consensus target

Qualitative Assessment

- **Why did it sell off?** (Be specific — what event(s) drove the decline)
- **Is the issue fixable?** (Binary: Yes / Probably / No — with 2-3 sentence explanation)
- **What would have to go wrong for this to be a permanent impairment?** (Bear case)
- **What are the 2–3 most likely catalysts for recovery?** (With rough timeline)
- **What is the industry demand floor?** (What macro scenario breaks this thesis)
- **Competitive positioning:** Is the moat intact post-selloff?

Comparable Analysis

- Identify 2–3 closest peers
- Show where this stock trades vs. peers on key multiples (P/E, EV/EBITDA)
- Note if the valuation gap is justified or an overreaction

THE MANDATORY PRIMARY CANDIDATE: NVO (Novo Nordisk)

Always include NVO as the first stock in the analysis. It is the investor's primary interest. The investor is specifically asking whether all the bad news is priced in after:

- CagriSema Phase 3 trial miss vs. Eli Lilly's tirzepatide (Feb 2026)

- 2026 guidance: sales down 5–13% — first decline since 2017
- Stock down ~70%+ from \$142 all-time high
- IRA pricing pressure on Ozempic/Wegovy starting 2027
- Active securities fraud investigation (Pomerantz)
- TD Cowen, Goldman, Deutsche Bank all downgraded recently

For NVO specifically, also research:

- Status of Zenagamtide (Amycretin) Phase 3 plans
- Oral Wegovy commercial traction
- CagriSema higher-dose trial plans (H2 2026 start)
- MASH pipeline (Akeru acquisition)
- Semaglutide CKD + HFpEF label expansions
- Current free cash flow and balance sheet health despite the selloff
- M&A capacity / likelihood

FIND 4–6 ADDITIONAL STOCKS

Beyond NVO, screen for 4–6 additional stocks that fit the strategy criteria. Good hunting grounds include:

- **Large pharma** with patent cliff fears priced in (MRK, PFE, BMY are already researched — evaluate whether they fit or find better alternatives)
- **Medical devices** that got caught in policy uncertainty (BSX, ZBH, SYK, ABT)
- **Defense** names if any have sold off on contract delays or budget noise
- **Industrials** with long-cycle backlogs that sold off on near-term guidance
- **Consumer staples** that got de-rated on volume/pricing mix concerns
- **Specialty pharma or biotech** (larger cap, \$5B+) with pipeline misses but intact franchises

For each candidate, run it through ALL the screening criteria before including it. Do NOT include a stock just because it's down — it must pass all hard filters AND score well.

EXCEL MODEL STRUCTURE

Build `output/stock_screener.xlsx` with the following sheets in this exact order:

Sheet 1: SUMMARY DASHBOARD

- Title block with date, strategy name, investor macro thesis
- Master ranking table: all stocks sorted by Composite Score (highest to lowest)
- Traffic light / conditional formatting:
 - Green = Strong Buy (Composite Score ≥ 7.5)
 - Yellow = Buy / Monitor (5.0–7.4)
 - Red = Pass / Too Risky (< 5.0)
- At-a-glance metrics for each stock: Ticker, Company, Price, % Off High, Composite Score, Recommendation, Target Price, Upside %, Key Risk, Key Catalyst
- A "Portfolio Construction" note box at the bottom: suggested position sizing (larger for higher-conviction, smaller for higher-risk names)

Sheet 2: STOCK SCORES

- Full scoring matrix — all 6 scoring criteria for all stocks
- Each criteria scored 0–10 with a brief (1-sentence) justification per cell
- Weighted composite score with formula
- Color coding per the financial model standards (blue = inputs, black = formulas)

Sheet 3: VALUATION COMPS

- For each stock: current multiples vs. peer median vs. sector median vs. own 5-year historical average
- Implied price at various P/E and EV/EBITDA re-rating scenarios
- Target price derivation: show the blended methodology (DCF weight + Comps weight + Analyst consensus weight)
- Upside / downside to bear / base / bull case

Sheet 4: FUNDAMENTAL DATA

- All raw quantitative data gathered for each stock

- Income statement summary (Revenue, EBITDA, EPS — last 2 years actual + next 2 years estimates)
- Balance sheet key metrics (Net debt/cash, Coverage, Credit rating)
- Cash flow summary (FCF, Capex, Dividends)
- All data sourced with ticker and data-as-of date

Sheet 5: CATALYST TRACKER

- For each stock: list all identified catalysts with:
 - Catalyst description
 - Estimated timeline (Quarter/Year)
 - Probability assessment (High / Medium / Low)
 - Estimated price impact if catalyst materializes (+X%)
 - Estimated price impact if catalyst fails (-X%)
 - Monitoring signal (what to watch for)

Sheet 6: RISK MATRIX

- Bull / Base / Bear case for each stock
- Bull case: what goes right, price target, return %
- Base case: most likely outcome, price target, return %
- Bear case: what goes wrong, price target, return %
- Expected value calculation: $(P_{\text{bull}} \times \text{Bull return}) + (P_{\text{base}} \times \text{Base return}) + (P_{\text{bear}} \times \text{Bear return})$
- Key risks listed and rated: Macro Risk, Company-Specific Risk, Regulatory Risk, Competitive Risk (each 1–5)

Sheet 7: NVO DEEP DIVE

- Dedicated tab for Novo Nordisk only (the primary candidate)
- Timeline of the selloff: key events, dates, stock price at each event
- Pipeline status table: all current and late-stage assets, status, timeline, market size
- Scenario analysis: what NVO is worth if CagriSema succeeds vs. fails at launch

- IRA pricing impact model: estimated revenue hit starting 2027
- Competitive positioning: NVO vs. LLY market share trajectory
- M&A capacity analysis: balance sheet headroom for deals
- Verdict section: Is the bad news priced in? (Yes / Partially / No) with explicit reasoning

Sheet 8: ASSUMPTIONS

- All key assumptions used in the model, clearly labeled
- Peer group definitions for each stock
- Discount rate / WACC assumptions
- Macro assumptions (growth, rate, inflation)
- Data sources and as-of dates

FORMATTING STANDARDS (NON-NEGOTIABLE)

Follow all standards in the XLSX skill. Key requirements:

- **Font:** Arial throughout
 - **Blue text** (RGB 0,0,255): All hardcoded inputs and assumptions
 - **Black text:** All formulas and calculations
 - **Green text:** Links between sheets
 - **Color scheme for headers:** Dark navy (#1F3864) with white text
 - **Alternating row colors:** Light gray (#F2F2F2) and white for data tables
 - **Zero formula errors:** Run recalculation check before finalizing
 - **Currency:** All prices in USD, in \$#,##0.00 format; all large numbers in \$mm
 - **Percentages:** 0.0% format
 - **Conditional formatting** on the Summary Dashboard for traffic light scoring
 - **Freeze panes** on all data sheets (freeze top 2 rows)
 - **Column widths:** Auto-fit with minimum 12 and maximum 50 character widths
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OUTPUT

Save the final model to: `output/stock_screener.xlsx`

Before finalizing:

1. Run `python scripts/recalc.py output/stock_screener.xlsx`
 2. Verify zero formula errors
 3. Spot-check 5–10 formulas manually
 4. Ensure all 8 sheets are present and properly labeled
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IMPORTANT NOTES

- Do not fabricate data. If you cannot find a specific data point via web search, mark the cell “N/A — data not found” in yellow
- All analyst price targets and ratings should be current (within 30–60 days)
- When in doubt on a valuation call, be conservative — this is a capital preservation strategy
- The investor is a sophisticated, institutional-level reader. Do not simplify or over-explain. Write notes and commentary at the level of a sell-side research report
- If a stock fails the hard filters, note it in a “Screened Out” table at the bottom of the Summary Dashboard with the reason it was excluded